

Cybersecurity for SME Employees

Module 3.3 – Spear Phishing and CEO Fraud

1 Objective

Equip employees with the knowledge to identify and respond to highly targeted phishing attempts and impersonation scams involving executives.

2 Introduction

While general phishing targets many people with the same message, spear phishing and CEO fraud are more personalized and dangerous. These attacks are carefully crafted to deceive specific individuals and can cause significant financial and reputational damage.

3 What is Spear Phishing?

- A form of phishing where attackers customize messages to a specific individual or group.
- Uses personal details to appear authentic.
- Often mimics trusted coworkers, clients, or vendors.

4 What is CEO Fraud?

- Also called Business Email Compromise (BEC).
- Attackers impersonate company executives (e.g., CEO, CFO) to trick employees into making payments or sharing sensitive data.
- Usually targets finance, HR, or admin staff.

5 How Attackers Make It Believable

- Research company org charts, LinkedIn, or social media.
- Use spoofed or lookalike email addresses.
- Mimic writing style of the person they're impersonating.
- Send emails during off-hours to avoid scrutiny.

6 Common Examples

- “Hi, I’m in a meeting—can you urgently wire \$10,000 to this account?”
- “Please send employee tax records for audit purposes.”
- “Here’s the vendor invoice. Please make the payment today.”

7 Red Flags to Watch For

- Requests for secrecy or urgency.
- Unusual payment instructions.
- Slightly misspelled names or domains (e.g., @yourcornpany.com).
- Messages that break normal procedures (e.g., bypassing approvals).

8 How to Respond

- Do not act on suspicious requests without verifying them.
- Call or message the person directly using known contact details.
- Report the email to IT or your cybersecurity team.
- Never send payments or sensitive data without verification.

9 Example Scenario

Priya, a finance assistant, receives an email from her “CEO” requesting an urgent transfer of \$20,000 to a new vendor. The tone is convincing and matches the CEO’s usual writing style. But the email address is subtly different. Priya notices the irregularity and reports it—preventing a major fraud.

10 Conclusion

Spear phishing and CEO fraud are difficult to detect because they feel personal and authoritative. Always verify requests, no matter how real they seem. In the next session, we’ll walk through real-world scenarios to help you spot the scams before they cause harm.